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COPY NO. 40

25th Meeting

STATE-WAR-NAVY COORDINATING COMMITTEE

Minutes of the Meeting held in Room 200,
State Department Building,
on Friday, 21 September 1945, at 1030

MEMBERS PRESENT

Mr. John D. Hickerson, Acting Chairman

Mr. John J. McCloy (Items 1-6 only)

Mr. Artemus L. Gates

STATE

Mr. John Carter Vincent

Mr. Samuel Reber
(Items 2-3 only)

Mr. Gordon P. Merriam
(Item 12 only)

Mr. Walter C. Dowling
(Items 2-3 only)

Dr. George Blakeslee

Mr. George V. Allen
(Item 12 only)

WAR

Major General John H. Hilldring

Brig. General G. F. Schulgen

Brig. General C. M. Spofford
(Item 2 only)

Lt. Colonel Davidson Sommers

Colonel James McCormack

Colonel Voris H. Connor
(Item 12 only)

NAVY

Vice Admiral C.M. Cooke, Jr.
(Items 2-3 only)

Rear Adm.Clark H. Woodward

Brig.General O.T. Pfeiffer
(USMC)

Captain Lorenzo S. Sabin

Captain R. L. Dennison

Commander E. T. Gary

Mr. Francis X. Downey

SECRETARIAT

Colonel Charles W. McCarthy (War)

Commander Alvin F. Richardson
(Navy)

Mr. Raymond E. Cox (State)

Mr. Harold W. Moseley (State)

Mr. John P. Gardiner (State)

Colonel Paul G. Pennoyer (War)

Lt.Colonel Virgil F. Field (War)

Lt.Comdr. John D.Rockefeller, III
(Navy)

Lieutenant Hugh D. Farley (Navy)

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To SECRET Authority: Ltr of 5-19-61
from James [illegible] Dake, State Dept.
Name K.Queen
Date 6-15-66

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BY: PGDowling NNFD DATE 1-28-72

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1. MINUTES OF PREVIOUS MEETING

The minutes of the twenty-fourth meeting were approved without amendment.

2. TREATY OF PEACE WITH ITALY (SWNCC 155/1)

ADMIRAL COOKE indicated that the discussions with regard to the negotiations of the Treaty of Peace with Italy are in a state of flux and that the Navy Department desires to indicate its views with respect thereto here so that they will be in agreement with the instructions given to the Navy adviser at the London Conference of Foreign Ministers. He pointed out that the paper in its present form places no limits upon the size of the Italian Navy and that from this standpoint, it not only presents no advantages to the United States, but also potential disadvantages. He reviewed the position in the Mediterranean and felt it was in the interest of the United States, even though U.S. interests are not identical with British, to recognize and support British interests there. If the British position is not sufficiently strong in its strategic zones, the United States Navy would be likely to have to come to its assistance as had been the case in World War II. This would be detrimental to U.S. interests. A strong Italian Navy might well become a menace to British interests in the Mediterranean. He stated that not more than one-third, or at most one-half, of the present Italian fleet should be returned to Italian control. He also pointed out that submarines can play a very important role in the Mediterranean and that it would be dangerous from our standpoint to have any submarines placed in Italian hands. He stated that in the light of the disposition made of German submarines, it was inconsistent to return submarines to Italy. Nevertheless we should accord with the British attitude whether or not the British are in agreement with the United States Navy's proposals for scrapping all Italian submarines and with the United States Navy's position that not more than approximately one-third of the Italian Navy should be retained by Italy and the remainder scrapped.

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At the same time ADMIRAL COOKE pointed out that political considerations might override the position taken by the Navy Department, but that he felt that the Navy Department's point of view must be clearly presented.

MR. HICKERSON indicated that the general objectives of the State Department are in accord with the strategic requirements as presented by Admiral Cooke; that the United States had not been in agreement with the bitter attitude taken by the United Kingdom with respect to Italy but felt that Italy should be built up and brought back into the family of nations as a democratic country. The United States policy has been to build up a friendly democratic Italy and that SWNCC 155/1 had been drawn on that basis. He doubted the importance of the destruction of all the Italian submarines.

ADMIRAL COOKE pointed out that there were 24 modern submarines, 16 obsolete and 15 midgets, even though only three were immediately operational. He stated that Russia was anxious to acquire a substantial number of submarines. In view of the danger of submarines in the Mediterranean, he felt that it was inadvisable to return any submarines to Italy or to transfer any to other nations. All should be destroyed. He also pointed out that there were two new battleships completed, of which one was operational and one easily repairable, which the British would not favor seeing in the hands of potential enemies, and it if was unfavorable from the British standpoint, it was also unfavorable from that of the United States.

MR. McCLOY gave it as his own opinion that a liberal Treaty with Italy was desirable and that substantial restoration of Italian military strength should introduce stability into the current chaotic conditions prevailing in the Adriatic. The sooner this is accomplished the better. He would assume that submarines would be a menace in the Mediterranean, that they could be handled in a specialized way, and perhaps that it was best that they all be destroyed. This would also eliminate the danger of the Russians obtaining them and should not cause the Italians to lose face.

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ADMIRAL COOKE pointed out that the reparations clauses under which certain ships of the Italian Navy were to be turned over to Albania, Greece and Yugoslavia will probably have a worse effect on Italy than would turning them over to the United States. MR. REBER stated at the same time that these ships were not turned over on account of reparations but as restitution.

ADMIRAL COOKE pointed out that in his opinion it was not clear under present agreements that the USSR would not receive any vessels of the Italian Navy now that the war with Germany has ended. MR. HICKERSON indicated, however, that the Italian Treaty (SWNCC 155/1) was drawn on the basis that the USSR would receive no Italian ships.

MR. HICKERSON emphasized the importance of prompt clearance of SWNCC 155/1. At the same time, SWNCC did not wish to contravene the views of the Navy but to coordinate them. He recognized too that we cannot assume that the Italians will always be on our side, experience having demonstrated the contrary. He also stated we have absolutely no commitments regarding the Italian Fleet. In order to meet Admiral Cooke's convincing remarks respecting submarines. MR. HICKERSON asked if the Navy would be in accord with the paper if it provided that all submarines should be destroyed. ADMIRAL COOKE stated that that would not accomplish all the Navy had in mind, which was that it must express its views fully although it understood that political considerations might override them.

MR. HICKERSON then indicated that Mr. Byrnes had asked that alternative clauses be suggested by the State Department respecting the disposition of the Italian Navy, and in this connection he asked if Admiral Cooke would approve SWNCC 155/1 in its present form, provided the views of the Navy as expressed by Admiral Cooke at this meeting were expressed in full in such alternative clauses and comments thereon, and that United States representatives were instructed to support the British should the latter propose the naval clauses in SWNCC 155/1 as now

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drawn. ADMIRAL COOKE indicated his agreement with this disposition of the matter and stated that if the British desired to give all the Navy back to Italy, the United States in his opinion should agree.

THE COMMITTEE agreed that the Committee's approval of SWNCC 155/1, which had been given at the twenty-fourth meeting, subject to comments of the Joint Chiefs of Staff, should be supplemented by the following:

a. That the views of the Navy Department, as stated at this meeting by Admiral Cooke, be expressed in full in the alternative clauses to be drawn up by the State Department based on recommendations by the Navy Department and sent to Mr. Byrnes in London.

b. That recommendations should be made to the United States representatives in London that should the British propose such treatment of the Italian Navy as envisaged in SWNCC 155/1, the United States should support their position even though this position is not in agreement with United States Naval views with regard to disposition of the Italian Fleet.

c. That this matter be cleared with the Joint Chiefs of Staff.

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3. FRENCH POSITION RELATIVE TO THE DIVISION OF THE GERMAN MERCHANT AND NAVAL SHIPS (SWNCC 185/1)

MR. HICKERSON indicated that the question of the claim by the French to participate in German merchant and naval ships had been raised in connection with the agenda for the conference of Foreign Ministers in London; that Mr. Molotov had objected to the question being considered at all; and that the matter had accordingly been removed from the agenda. He therefore felt that the entire question was now academic.

ADMIRAL COOKE indicated that it was not to our interests to have the question reopened.

MR. HICKERSON stated that SWNCC 185/1 was satisfactory and could be approved but that whether or not the message for the Secretary of State contained in the Appendix thereto should be sent should be left to the discretion of the Acting Secretary of State.

> THE COMMITTEE approved SWNCC 185/1 but left to the discretion of the Acting Secretary of State whether or not the proposed message contained in the Appendix thereto should be sent.

4. BASIC DIRECTIVE FOR POST-SURRENDER MILITARY GOVERNMENT IN JAPAN PROPER, INCLUDING POLITICAL, ECONOMIC AND FINANCIAL DIRECTIVES (SWNCC 52/3)

MR. VINCENT indicated that this paper had been revised by the Secretariat in accordance with the action taken at the twenty-third meeting of the Committee. It also reflected a small change suggested by the Joint Chiefs of Staff.

MR. McCLOY pointed out that in part this paper is not consistent with the basic policy set forth in SWNCC 150/4 (last sentence of Part II, paragraph 2, page 51) relating to intervention by the Supreme Commander in case of the use of force by the Japanese people or government in connection with changes in the form of Government. This basic policy is as follows:

> "In the event that the effectuation of such changes involves the use of force by the Japanese people or

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government against persons opposed thereto, the Supreme Commander should intervene only where necessary to ensure the security of his forces and the attainment of all other objectives of the occupation."

MR. McCLOY felt that this should be inserted as a new sentence in Part I, of paragraph 4, subparagraph c, fourth line from foot of page 8, following the sentence ending with the word "favored".

MR. DOWNEY inquired whether or not the reference in SWNCC 52/3 to the destruction of arms, ammunition, naval vessels and implements of war had been clarified. MR. HICKERSON indicated that this had not been done and that Mr. Byrnes had just advised again that he still wished to consider the matter further. MR. McCLOY pointed out that the whole question of General MacArthur's authority is likely to come up for discussion soon, that Lord Halifax has been pressing him and General Macready has spoken to General Hilldring regarding the matter, that it was expected that representations may be made by them soon, and that in any event publication of the SWNCC papers now comtemplated is likely to bring the matter to the fore. He felt that we must take the position that this is United States policy but at the same time this is a partnership occupation of Japan and we should welcome the assistance of other Powers and not appear to be the only oppressors of Japan. GENERAL HILLDRING pointed out that publication should be made as soon as possible of the various papers in question.

The publication of SWNCC 52/3 was then discussed and MR. GATES stated that in his opinion it should be edited for publication and release to the public as soon as possible.

THE COMMITTEE:

a. Approved SWNCC 52/3 with the change indicated by Mr. McCloy to incorporate the sentence from SWNCC 150/4 with reference to intervention by the Supreme Commander in case of the use of force by the Japanese

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people or Government in connection with changes in the form of government.

b. Referred the paper back to the SWNC Subcommittee for the Far East for editing for the purpose of publication, the paper when so edited to be referred back to the State Department, without further reference to SWNCC, for notification to our Allies followed by release to the public.

c. Directed that prior to any publication General MacArthur be advised.

5. PUBLICATION OF SWNCC 181/2--AUTHORITY OF GENERAL MacARTHUR

Regarding SWNCC 181/2 THE SECRETARY pointed out that the Joint Chiefs of Staff had been advised that copies of the paper had been transmitted to our Allies, that they had been notified of our intent to publish the same, and that the Joint Chiefs of Staff had been requested to advise General MacArthur that his request for authority to publish had been granted. GENERAL HILLDRING requested that the Secretary check to make sure whether or not General MacArthur had been authorized to publish the statement.

(Note by Secretariat: General MacArthur was authorized to publish by the Joint Chiefs of Staff on 20 September 1945.)

6. UNITED STATES INITIAL POST-DEFEAT POLICY RELATING TO JAPAN (SWNCC 150/4)

GENERAL HILLDRING pointed out that the second and third sentences, beginning on page 57, of part IV, paragraph 4 (b) (SWNCC 150/4) were unduly favorable to the Japanese and not in accord with the Directive on this subject (SWNCC 52/3) in that the subparagraph as it now stands would permit export of goods urgently needed by United Nations prior to determination by the Allied authorities whether such exports shall be considered as reparations or as exports for which payment must be made.

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These sentences also provide that when the Allied authorities make such determination, they will follow the policy that payment should be made for such exports to the extent necessary to pay for approved imports into Japan. GENERAL HILLDRING recommended that the second and third sentences of Part IV, 4 (b), referred to on page 57, be deleted and that the following, which conforms with SWNCC 52/3, be substituted therefor:

> "Exports other than those directed to be shipped on reparation account or as restitution may be made only to those recipients who agree to provide necessary imports in exchange or agree to pay for such exports in foreign exchange."

THE SECRETARY pointed out that since Presidential approval had been given to SWNCC 150/4 and the Committee was not amending that paper it would be desirable to retain the numerical designation in so far as possible and suggested the use of SWNCC 150/4/A for the revised paper. A statement from General MacArthur urging the publication of SWNCC 150/4 was circulated.

THE COMMITTEE:

a. Agreed to substitute the language with reference to exports recommended by General Hilldring in Part IV, paragraph 4 (b);

b. Directed the Secretariat to withdraw SWNCC 150/4 and publish a new paper, SWNCC 150/4/A, containing the policy statement revised as above indicated at this meeting;

c. Directed the Secretariat to transmit to the Joint Chiefs of Staff SWNCC 150/4/A for despatch to General MacArthur; and

d. Directed the Secretariat to transmit to the State Department for communication to our Allies and publication, SWNCC 150/4/A as revised for publication in SWNCC 150/5.

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7. CLARIFICATION OF AUTHORITY OF SWNCC

MR. McCLOY indicated that in view of the broadening of the scope of SWNCC activities, he felt it was desirable that a basis should be established for actions by SWNCC. Even though later on there may be more elaborate provision for its activities this will take time and in the meantime he felt that a memorandum covering its functions should be signed by the three Secretaries. He presented a proposed memorandum which he suggested for this purpose.

MR. GATES agreed with the general purpose of the paper but inquired as to the significance of the words "where indicated" in the sentence which provided for matters being taken up with the President "where indicated". MR. HICKERSON thought that the wording "where appropriate" would be preferable, and stated he would take the matter up with the Secretary of State upon his return to Washington in a few days.

THE COMMITTEE approved the proposed memorandum presented by Mr. McCloy as amended clarifying the authority of SWNCC, and agreed to submit it to the Secretaries of the three Departments for approval.

8. TRANSMISSION OF COPIES OF "REPORT ON THE DESTRUCTION OF MANILA AND JAPANESE ATROCITIES" TO SOVIET UNION, SPAIN, AND THE SOUTH AND CENTRAL AMERICAN REPUBLICS (SWNCC 166)

THE SECRETARY stated that the Interdepartmental Board on Prisoners of War, to which this paper had been referred had just submitted its report which was being distributed (SWNCC 166/1), and that this report indicated the Board's approval of the transmission of the atrocities report to the nations in question. MR. GATES indicated that there appeared to be no argument against such transmission. MR. DOWNEY recommended that such transmission be not "confidential" as provided in the report.

THE COMMITTEE approved the transmission of the "Report on the Destruction of Manila and Japanese Atricoties" referred to in SWNCC 166 to the Soviet Union, Spain and the

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South and Central American Republics, except that the transmission of the report should not be "confidential" as provided therein.

9. TRANSFER OF U.S. PLANES TO ITALY (SWNCC 188)

GENERAL HILLDRING indicated that the War Department approves this paper except that paragraph 10 a, page 3, in the Recommendations should be amended so as to permit the Joint Chiefs of Staff to make arrangements for the sale of the planes in question in lieu of a message being sent the Commanding General, U.S. Forces in the Mediterranean Theater, authorizing him to effect such sale. He recommended that this should be accomplished by amending paragraph 10 a to read as follows:

> "a. After approval by State-War-Navy Coordinating Committee, this report be forwarded to the Joint Chiefs of Staff for their consideration from a military point of view with the request that, if approved, arrangements be made by the Joint Chiefs of Staff for the sale as surplus of the P-39 aircraft in question to the Italian Air Force."

MR. HICKERSON read a telegram which had just been received by the State Department recommending that up to 73 P-38's be substituted for a similar number of P-39's to be turned over to the Italians on the grounds that these were more satisfactory to the Italians, and that they were being salvaged anyway. An immediate reply was requested. MR. HICKERSON suggested reference in the paper to P-38's where appropriate so as to authorize the sale of either P-38's or P-39's. COLONEL McCORMACK stated that it would be desirable to have this specified so that no technical question would be raised as to the authority of the Army to sell P-38's, as well as P-39's.

THE COMMITTEE agreed to approve SWNCC 188 with the changes recommended by General Hilldring to permit the Joint Chiefs of Staff to make arrangements for the sale of the planes, and P-38's being referred to where appropriate so as to indicate

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that P-38's, as well as P-39's, can be sold in accordance with the authority contained in the paper.

10. BASIC INITIAL DIRECTIVE TO THE COMMANDER IN CHIEF, U.S. ARMY FORCES IN THE PACIFIC, FOR THE ADMINISTRATION OF CIVIL AFFAIRS IN KOREA SOUTH OF 38 DEGREES NORTH LATITUDE (SWNCC 176/3)

GENERAL HILLDRING indicated that this paper had been approved by the Joint Civil Affairs Committee after very careful and thorough examination by the War and Navy Departments, that he had every expectation that it would meet with the approval of the Joint Chiefs of Staff and that if the political and economic parts could be approved by this Committee, subject to the approval of the Joint Chiefs of Staff, time would be saved. CAPTAIN SABIN indicated that although the paper had been approved by the Joint Civil Affairs Committee, he was not able to indicate where the paper is at this time in the Joint Chiefs of Staff. He agreed that if the paper could be approved by SWNCC at this meeting, subject to the approval of the Joint Chiefs of Staff, time would be saved, and MR. GATES also indicated his approval of this procedure.

MR. HICKERSON suggested that the paper be referred to the Subcommittee for editing for publication after notification to our Allies, and GENERAL HILLDRING pointed out that the paper should be sent to General MacArthur prior to publication and that he should be advised thereof.

THE COMMITTEE agreed:

a. To approve SWNCC 176/3, subject to any comments that may be made by the Joint Chiefs of Staff, and that it should be referred back to the State-War-Navy Coordinating Subcommittee for the Far East for editing and publication after notification to our Allies; and

b. That prior to any such publication the paper should be sent to General MacArthur.

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11. TRAINING OF NETHERLANDS MARINES IN THE UNITED STATES (SWNCC 189, 189/1)

MR. HICKERSON indicated that the State Department had been in favor of a total of 7,000 Dutch Marines being trained and equipped in the United States, but that in view of the additional facts brought to the attention of the State Department showing that 2,000 Marines were merely combat replacements for which there is no further need at this time, the State Department was willing to agree to a total of only 5,000 Marines now in the U.S. being trained and equipped and sent out to the Netherlands East Indies. He also stated that he understood there would be a delay until the middle of November in the shipment of these Marines, and CAPTAIN SABIN stated in reply thereto that there was elasticity in regard to this matter and that actual shipment would be dependent upon the availability of shipping.

THE COMMITTEE approved the recommendations contained in J.C.S. 765/15 (SWNCC 189/1), under which the further movement of Dutch Marines to the United States for training would be discontinued, a reenforced regiment only would be equipped, and the regiment with equipment would be sent from the United States about mid-November.

12. CONSTRUCTION OF A MILITARY AIRFIELD AT DHAHRAN (SWNCC 19/19, 19/20)

MR. ALLEN indicated that prior to the termination of the war that the United States had planned on spending about $10,000,000 on the Dhahran airfield. The War Department now feels that before proceeding further, Presidential approval is necessary because the need of the airfield for redeployment purposes has diminished and it feels that the primary interest in the carrying out of the project rests more with the State Department as a political matter. He pointed out that about 500 Italian workmen had already arrived at the field and it was necessary to take action in regard to the matter.

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GENERAL HILLDRING indicated the War Department's agreement to the paper except for certain editorial changes in the proposed Memorandum to the President so as to inform him more clearly of the action desired of him, as follows:

Page 140: the last 3½ lines of the last paragraph to be set out as a paragraph and changed to read as follows:

"The Department of State would therefore appreciate being informed if you authorize the ~~continuance of~~ completion of the construction by the War Department at its own expense of this airfield and its auxiliary facilities on the conditions outlined above provided that Congressional approval or sanction for the use of War Department funds already appropriated be obtained, or, if it should prove impracticable to secure such approval or sanction, that appropriation by Congress for the specific purpose be obtained.

"If you approve of the completion of the construction of the field on the foregoing basis, Congressional sanction or authorization as aforesaid will be applied for by the War Department."

GENERAL HILLDRING indicated that the War Department has an interest in the completion of the field. He also felt that Congressional approval for the continuation and completion of the project could be obtained by the War Department taking the matter up with the Chairmen of the appropriate Congressional committees, as has been done in other cases. He pointed out, however, that Mr. McCloy felt that Article 9, Appendix "C" (Draft of Air Transport Agreement between the U.S.A. and Saudi Arabia), page 137, of the paper which provides that either party may terminate the agreement on one year's notice, is not very favorable from the standpoint of the United States. COLONEL CONNO stated that this was a standard clause in all civil aviation agreements which had been negotiated, but MR. HICKERSON suggested

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that since there were new and special features covered by this agreement that this clause was inappropriate and should be eliminated.

THE COMMITTEE agreed to approve SWNCC 19/20 with the changes in the Memorandum to the President suggested by General Hilldring and the elimination of Article 9, Appendix "C", page 137.

13. REMOVAL OF FORMOSA PAPERS FROM AGENDA

THE SECRETARY requested the Committee to approve the recommendation of the SWNC Subcommittee for the Far East that certain papers on Formosa be removed from the agenda contained in SWNCC 16/6 as requiring no further action by the Committee.

THE COMMITTEE agreed to eliminate the following papers from the SWNCC agenda:

Politico-Military Problems in the Far East:
Relations of the Military Government of Formosa with China and the Chinese (SWNCC 53)

Politico-Military Problems in the Far East:
National Composition of Forces to Occupy Formosa (SWNCC 68)

Politico-Military Problems in the Far East:
Basic Directive for Pre-Surrender Military Government in Formosa, including Politicoal, Economic and Financial Directives. (SWNCC 69)

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